STATEMENT OF ADVICE

Prepared for Brad and Gale

Advice Type: Comprehensive | Date: 04 May 2026

Prepared by <Your Company Name>

Australian Financial Services Licensee

ABN: XX XXX XXX XXX | AFSL No. XXXXXX

enquiries@your-licensee.com.au

This Statement of Advice is current for 30 days from the date of issue. If you do not act within this period, contact us before proceeding as circumstances or legislation may have changed.

Cover Letter

04 May 2026

Dear Brad and Gale,

Thank you for entrusting us with your financial planning needs during this significant transition in your lives. Brad recently suffered a stroke and is living with dementia, necessitating a move into residential aged care. While the household is asset-rich, holding a $2,500,000 family home and significant liquid investments, they are currently cashflow-poor. Gale wishes to maintain her lifestyle spending of $80,000 per year and is adamant about retaining the family home to ensure their five dogs can remain there. The strategy outlined in this advice is designed to protect Brad's residential aged care placement, preserve the family home as a legacy asset, and ensure Gale's financial security without compromise on any stated objective. Our goal is to provide you with a comprehensive strategy that addresses your immediate needs while supporting your long-term financial well-being.

Enclosed is your Statement of Advice and related documents, prepared based on our recent discussions. Please review and contact us with any questions or if you feel we've missed or misunderstood any information.

This advice is a crucial first step in achieving your financial goals. Regular reviews of your strategy will be essential moving forward.

Note that this Statement of Advice is valid for 30 days from the date of this letter. After this period, please consult us before implementing any recommendations, as circumstances may have changed.

We're here to address any queries about this advice or other financial planning matters. Don't hesitate to reach out.

Best regards,

____

Your Financial Adviser

Authorised Representative — XXX Financial Planning Pty Ltd | AFSL No. XXXXXX

1 Executive Summary

Summary of Recommendations

For the short term — up to one year

1. Purchase $300,000 Challenger CarePlus from Brad's cash account → This generates an instant $35,760.40 reduction in assessable assets and secures a guaranteed $13,972 per year income stream.
2. Pay the remaining $400,000 Refundable Accommodation Deposit (RAD) gap → Funded by $350,000 from cash and $50,000 from listed investments, this eliminates $31,840 in annual interest costs and protects the family home.
3. Notify Centrelink of Brad's entry into care and illness-separated status → This increases Brad's Age Pension from $0 to $6,575.40 per year, as his assessable assets have been reduced from $1,550,000 to $1,114,239.60.

For the medium term — one to five years

4. Household cash runway: This strategy provides a medium-term funding runway of roughly 3.9 years from remaining liquid assets before alternative funding must be tapped. The household's total annual outflows of $151,638.55 are funded by Brad's Age Pension, annuity payments, and structured drawdowns from the remaining $450,000 Account-Based Pension and cash reserves.
5. Asset protection: The family home remains a non-assessable protected asset throughout the projection horizon, ensuring the dogs can remain in their familiar environment as requested. We will monitor household liquidity annually to ensure Gale's $80,000 per year lifestyle objective remains secure.

Estate Planning & Legacy

PREREQUISITE: As Brad has suffered a stroke and cognitive impairment, no part of this strategy can be executed unless a valid Enduring Power of Attorney is in place.

6. Estate Preservation: This strategy is designed to preserve the estate by treating the $750,000 RAD as a capital transfer rather than a cost. In the event of Brad's passing, the gross RAD of $750,000 is repaid to the estate; after the facility's simple-interest retention of 2% per year (capped at five years), the net repaid is $675,000.

🧮 RAD Retention Calculation

```
  Retention = Initial RAD - [Initial RAD × (1 - 0.02)^min(years_held, 5)]
            = $750,000 - [$750,000 × (1 - 0.02)^min(10, 5)]
            = $750,000 - [$750,000 × 0.98^5] = $750,000 - $677,940.60
            = $72,059.40 (total amortised retention over 5 years)
Net RAD Refund = $750,000 - $72,059.40 = $677,940.60
```

⚑ STRATEGY ASSUMPTION: This projection assumes all ongoing care fees (BDF, HSC, NCCC, DAP) are funded via external cashflow. If the client elects to draw down these fees directly from the RAD balance, the RAD will act as a declining balance. Consequently, the 2% facility retention fee will decrease marginally over time, and any DAP will compound. A manual recalculation of the final exit RAD balance will be required upon implementation.

💬 **What This Means for Brad and Gale:** The RAD is not a cost — it is a capital transfer. When Brad passes (modelled at Year 11), $675,000 returns directly to the estate. The 2% annual retention ($15,000/yr) is a small price for the $31,840/yr DAP saving the strategy generates. On top of this, the Challenger CarePlus product returns $300,000 as a death benefit, meaning over $975,000 of capital flows back to Gale and the children at the Year 11 event.

7. Additionally, the Challenger CarePlus policy provides a 100% death-benefit return of the $300,000 premium. When combined with remaining liquid assets, the projected combined liquid estate balance at the Year 11 mortality event is $502,715.07. Wills and Enduring Powers of Attorney must be reviewed immediately to reflect Brad's changed health status and the asset restructure.

Ongoing Review and Advice

We propose annual reviews of your financial situation to ensure this strategy remains appropriate and to make any necessary adjustments as your circumstances change or legislative updates occur.

Expected Outcomes

The recommended strategy successfully secures Brad's placement in residential care while achieving his goal of fee minimization. By paying the RAD in full and purchasing CarePlus, we eliminate $31,840 in annual interest costs and unlock Brad's Age Pension of $6,575.40 per year. The family home is protected as an exempt asset, and Gale's lifestyle is supported by a combination of pension income, a $15,000 existing annuity, the new $13,972 CarePlus income stream, and structured drawdowns from liquid reserves. The estate is projected to retain $502,715.07 in liquid capital at the Year 11 horizon after the RAD and CarePlus premiums are returned.

We project this strategy to be sustainable for your defined medium-term horizon, after which a comprehensive review will be required.

Fees Overview

We believe in absolute transparency. We do not receive commissions or hidden benefits for our strategic advice. Our fees for preparing this document and guiding you through implementation are:

Description	Value

Upfront Advice Fee (incl. GST)	$3,300.00
Ongoing Annual Advice Fee (incl. GST)	$5,500.00
Commissions Received	Nil
Other Benefits	Nil

Full remuneration disclosure is provided in Section 8 — Remuneration & Fees.

Risks in Our Advice

While this strategy has been engineered to protect your wealth and achieve your goals, all financial decisions carry inherent trade-offs. It is vital you understand the specific risks to this approach:

- Legal Capacity: Brad's dementia and recent stroke mean legal capacity is a primary risk; implementation cannot proceed without confirmation of a valid Enduring Power of Attorney.
- Liquidity and Cashflow: The household is currently asset-rich but cashflow-poor, with significant annual outflows including the care of five dogs. The $450,000 residual Account-Based Pension is projected to be exhausted within 3.9 years, requiring a review of funding sources at that time.
- Legislative Change: Any future changes to the Age Pension asset test thresholds or aged care fee structures could impact the sustainability of this strategy.

Market & Legislative Reality

Future changes to government legislation (including Age Pension rules and Aged Care fees) may impact the projections in this document.

The value and income of your investments and superannuation assets can fluctuate due to the natural ups and downs of the market.

Should your personal circumstances change, please contact us for a review before acting on this advice.

Actual returns are not guaranteed and could potentially be quite different from the projections we've outlined.

2 Scope of Advice

Financial decisions are rarely just about numbers; they are about securing your peace of mind and protecting the people you care about. Every major life transition comes with financial complexity. Our role is to absorb that complexity so you can focus on what truly matters — your family, your well-being, and your future.

This advice has been engineered to cover:

- Your Financial Trajectory: A detailed, mathematical analysis of your cash flow, income, and asset longevity to ensure your lifestyle remains secure.
- Aged Care Transition: Structuring the optimal way to fund residential aged care (including the Refundable Accommodation Deposit) while minimizing ongoing daily care fees and preserving family capital.
- Centrelink Optimisation: Restructuring your asset and income base to legally and efficiently maximize your Age Pension entitlements.
- Wealth & Superannuation Strategy: Optimizing your superannuation structure, investment trajectories, and debt management to build and protect your capital over the long term.
- Tax-Effective Structuring: Modelling your tax position to identify structural efficiencies and protect your investable surplus from unnecessary leakage.
- Estate Considerations: Strategic guidance on how today's financial decisions will impact the legacy and wealth you leave behind for your loved ones.

What Is Outside This Advice

To ensure you receive the highest standard of care, the following areas fall outside the scope of this document. We strongly recommend engaging the appropriate specialists:

- Legal Advice: While we structure your wealth with your legacy in mind, we cannot draft Wills, Enduring Powers of Attorney, or Guardianship documents.
- Tax Return Preparation: We provide forward-looking strategic tax modelling, but a registered Tax Agent or Accountant must handle your formal ATO lodgements.
- General & Health Insurance: The protection of your physical assets and private health cover should be reviewed directly with your providers.
- Specific Product Selection: Unless explicitly stated in the recommendations, this advice does not cover the selection of specific individual shares or managed funds.

This strategy is deeply personal and relies entirely on the information we have discussed. If any personal details, goals, or financial figures are incomplete, please let us know immediately.

3 What We Know About You

Personal Details

Field	Client (Brad)	Partner (Gale)
Full Name	Brad	Gale
Age	78	58
Marital Status	Partnered — Illness Separated	Partnered — Illness Separated
Homeowner	Yes	Yes
Private Health Cover	No	No
Target Retirement Age	—	—
Income (p.a.)	$0.00	$0.00
Risk Profile	Balanced	Balanced

Your Current Situation

Brad recently suffered a stroke and is living with dementia, necessitating a move into residential aged care. While the household is asset-rich, holding a $2,500,000 family home and significant liquid investments, they are currently cashflow-poor. Gale wishes to maintain her lifestyle spending of $80,000 per year and is adamant about retaining the family home to ensure their five dogs can remain there.

What You Would Like to Achieve

8. Minimize ongoing aged care fees and interest costs.
9. Retain the family home for the family and their pets.
10. Secure Brad's Age Pension eligibility.
11. Maintain Gale's $80,000 per year lifestyle spending.

Your Risk Profile & Investment Approach

Based on the information you provided, your investment risk profile has been assessed as: Balanced. The recommended strategy aligns with a Balanced risk profile by maintaining a significant portion of assets in defensive cash and income-generating pensions while using a portion of capital to eliminate high-interest aged care debts. This approach prioritizes capital preservation and income stability over aggressive growth.

Financial Position

Asset / Liability	Client (Brad)	Partner (Gale)	Joint
Primary Residence	—	—	$2,500,000.00
Cash & Bank Accounts	$0.00	$0.00	$650,000.00
Existing Lifetime Annuity	$250,000.00	—	—
Shares & Investments	$0.00	$0.00	$150,000.00
Investment Properties	$0.00	$0.00	$0.00
Superannuation (Accumulation)	$0.00	$250,000.00	—
Superannuation (ABP)	$450,000.00	$0.00	—
Personal Effects	$0.00	$0.00	$150,000.00
Combined Total Assets	$4,400,000.00		
Mortgage	—	—	$0.00
Combined Total Liabilities	$0.00		
Combined Net Worth	$4,400,000.00		

Basis for Advice

The advice within this Statement is built upon the financial details, goals, and risk profile you shared with us. This advice relies entirely on the personal circumstances and financial information you have provided to us. We have not independently verified this information. If any detail is incorrect, has changed, or has been omitted, you must notify us before acting on this advice, as our recommendations may no longer be appropriate.

4 Strategy Mechanics

Aged Care Strategy & RAD Recommendation

The room and historical RAD: We recommend Brad secures his room with a total Refundable Accommodation Deposit (RAD) of $750,000. A portion of this, $350,000, has already been historically paid to the facility, leaving a remaining gap of $400,000 to be addressed.

Funding the gap: In line with the agreed liquidation preference of Cash→Shares→Super, the remaining $400,000 RAD gap has been funded by drawing $350,000 from Brad's cash in bank and $50,000 from listed investments.

Note: Our modelling does not account for Capital Gains Tax (CGT) liabilities that may be triggered by the sale of these investments. We recommend consulting your accountant prior to execution.

🧮 **Daily Accommodation Payment (DAP)**

```
DAP Formula:  unpaid_RAD × MPIR ÷ 365

Before strategy (RAD paid = $350,000):
  Unpaid RAD    = $750,000 - $350,000 = $400,000
  MPIR          = 7.96%
  DAP/day       = $400,000 × 0.0796 ÷ 365
                = $31,840 ÷ 365
                = $87.23 per day
  Annual DAP    = $87.23 × 365 = $31,840.00 per year

After strategy (RAD paid in full = $750,000):
  Unpaid RAD    = $750,000 - $750,000 = $0
  DAP/day       = $0 × 0.0796 ÷ 365 = $0.00 per day
  Annual DAP    = $0.00 per year
  Annual saving = $31,840.00 per year
```

💬 **What This Means for Brad and Gale:** By paying the RAD in full, the aged care facility has no basis to charge daily interest. The $31,840/yr saving is not an investment return — it is an immediate, certain, and permanent elimination of a debt cost. For Brad and Gale's cashflow, this is one of the most impactful decisions in this advice. Think of it like paying off a high-interest credit card: the instant you clear the balance, the interest stops.

The CarePlus Strategy

We recommend purchasing $300,000 of Challenger CarePlus from cash reserves. This is a bundled product where Centrelink assesses the components differently, creating an immediate reduction in assessable assets and unlocking Brad's Age Pension.

🧮 **CarePlus Asset Assessment**

```
Total Investment:        $300,000.00
Components:
  Annuity Purchase Price:   $89,401.00
  Insurance Premium:        $210,599.00
  Total:                   $300,000.00

Centrelink Assessment:
  Annuity assessed at 60%: $89,401 × 0.60     = $53,640.60
  Insurance assessed:      $210,599 × 1.00    = $210,599.00
  Total assessed value:    $53,640.60 + $210,599 = $264,239.60

Instant Asset Reduction:  $300,000 - $264,239.60 = $35,760.40

Assessable Income (annual):
  CarePlus income assessed at 60%:
  $13,972 × 0.60 = $8,383.20 per year
```

💬 **What This Means for Brad and Gale:** When Brad purchases CarePlus, Centrelink immediately counts only $264,239.60 of the $300,000 investment. The remaining $35,760.40 effectively disappears from the means test the moment the product settles. This is not a loophole — it is the legislated concessional treatment for complying lifetime annuities embedded within the product. For Brad and Gale, this single transaction is the key that unlocks the Age Pension and reduces ongoing care fees.

Source of Funds	Amount	Application of Funds	Amount
Cash in bank	$300,000.00	Challenger CarePlus purchase	$300,000.00
		Centrelink assessed value	$264,239.60
		Instant asset reduction	$35,760.40

Funding the RAD

Source of Funds	Amount	Application of Funds	Amount
Cash (RAD previously paid)	$350,000.00	Refundable Accommodation Deposit (RAD)	$750,000.00
Cash in bank (new)	$350,000.00		

Listed investments	$50,000.00		

Age Pension — Recommendation

The recommended asset restructure significantly improves Brad's Age Pension eligibility. Before this strategy, Brad was not eligible for the Age Pension as his assessable assets of $1,550,000 exceeded the Centrelink cut-off threshold. By paying the RAD and purchasing CarePlus, we have reduced his assessable assets to $1,114,239.60.

Age Pension Calculation

```
Status: Couple - Illness Separated
Rule:   Single pension RATE, but COUPLE asset thresholds

Step 1 — Assessable Assets (Centrelink):
  Cash (post-strategy):     $0.00
  Shares (post-strategy):   $100,000.00
  Super (Brad ABP):         $450,000.00    [age 78 ≥ 67, assessable]
  Super (Gale accum):       $0.00          [age 58 < 67, NOT assessable]
  Personal assets:          $150,000.00
  Existing annuity (60%):   $250,000 × 0.60 = $150,000.00
  CarePlus:                 $264,239.60
  ─────────────────────────────────────────────
  Assessable Assets:        $1,114,239.60

Step 2 — Asset Test:
  Max pension (Single):     $31,223.40
  Asset limit (Couple HO):  $481,500.00
  Excess:                   $1,114,239.60 - $481,500 = $632,739.60
  Reduction blocks:         floor($632,739.60 / $1,000) = 632 blocks
  Taper (Couple):           632 × $39.00 = $24,648.00
  Asset Test ceiling:       $31,223.40 - $24,648.00 = $6,575.40

Step 3 — Income Test:
  Deemed income:            $15,751.00 (on $550k deeming base)
  Annuity income (60%):     $9,000.00
  CarePlus income (60%):    $8,383.20
  Total assessable:         $33,134.20/yr
  Free area (Couple):       $380.00/fn × 26 = $9,880.00/yr
  Excess income:            $23,254.20/yr
  Couple taper (25c/$):     $23,254.20 × 0.25 = $5,813.55
  Income Test ceiling:      $31,223.40 - $5,813.55 = $25,409.85

Step 4 — Final Pension (lower of two tests):
  Asset Test:  $6,575.40
  Income Test: $25,409.85
  Governing:   Asset Test
```

```
PENSION:     $6,575.40 per year  ($252.90 per fortnight)
```

💬 **What This Means for Brad and Gale:** Brad qualifies for the Age Pension because paying the RAD and purchasing CarePlus has moved his assessable assets below the point where the asset taper reduces the pension to zero. The critical insight is that although Brad is in an illness-separated couple, Centrelink applies the more generous couple asset threshold ($481,500) while still paying him the full single-person pension rate ($31,223.40 maximum). This is a significant legislative advantage of the illness-separated status. Every $1,000 of assessable assets above $481,500 costs Brad $39/yr in pension — so the $35,760.40 CarePlus asset reduction alone is worth an extra $39 × 35.76 = $1,394.64/yr in pension.

Age Pension — Implementation

12. Lodge the SA457 (Aged Care — Income and Assets Assessment) with Services Australia to formally notify Brad's entry into residential care and trigger the means-tested fee assessment.
13. Update Brad's Centrelink record to reflect 'Illness Separated' marital status, which activates the more favourable single-rate pension thresholds.
14. Report the reduction in cash and the liquidation of listed investments following the RAD payment to ensure the correct pension rate is applied.
15. Confirm the purchase and assessed value of the Challenger CarePlus investment with Services Australia.

Age Pension — Benefits

- Brad's Age Pension: Secures a new income stream of $6,575.40 per year.
- Pensioner Concession Card: Provides access to reduced costs for medicines and other government concessions.
- Illness-Separated Assessment: Brad is now assessed against single-person pension rates, which are more generous than couple rates.

Age Pension — Risks

- Reporting Obligations: You must notify Centrelink within 14 days of any material change to your assets or income to avoid overpayments.
- Threshold Changes: Future changes to government asset test limits could reduce or eliminate Brad's pension entitlement.

Cashflow — Recommendation

The household's total annual outflows of $151,638.55 are funded by a combination of guaranteed income and structured asset drawdowns. The total non-drawdown income of $35,547.40 consists of $6,575.40 from

Brad's Age Pension, a $15,000 existing lifetime annuity payment, and $13,972 from the new Challenger CarePlus annual payment. This leaves a household cashflow shortfall of $116,091.15 per year.

🧮 **Cashflow Shortfall**

```
Total Outflows:
  Living expenses (Gale):    $80,000.00
  Basic Daily Fee:           $66.80 × 365 = $24,382.00
  Hotelling Supplement:      $22.15 × 365 =  $8,084.75
  NCCC (capped):             $107.32 × 365 = $39,171.80
  DAP (after RAD paid):      $0.00
  ─────────────────────────────────────────────
  Total Annual Outflows:     $151,638.55

Total Fixed Income:
  Brad's Age Pension:        $6,575.40
  CarePlus annual payment:   $13,972.00
  Existing annuity gross:    $15,000.00
  ─────────────────────────────────────────────
  Total Fixed Income:        $35,547.40

Shortfall = $151,638.55 - $35,547.40 = $116,091.15 per year

Year 1 funding of shortfall:
  ABP minimum drawdown (6% × $450,000):   $27,000.00
  Residual from shares/cash:              $89,091.15
  ─────────────────────────────────────────────
  Total funded:                           $116,091.15
```

💬 **What This Means for Brad and Gale:** The shortfall of $116,091.15/yr sounds significant, but the household has a $450,000 Account-Based Pension (Brad's) and a pool of liquid investments to fund it. In Year 1, $27,000 comes from the mandatory minimum ABP drawdown (6% of $450,000 at age 78), and the remaining $89,091.15 is drawn from the share portfolio. This produces a funded runway of approximately 3.9 years before the portfolio is exhausted. Gale's $250,000 superannuation accumulation (currently inaccessible at age 58) becomes available at age 60 and will extend this runway further. An annual review is essential to manage this trajectory.

Income Source	Annual Amount
Age Pension — Brad (illness-separated)	$6,575
CarePlus Annual Payment	$13,972
Existing Annuity — Gross Payment	$15,000

Total Annual Income (before drawdown)	$35,547

Financial Position — Before & After

Position	Before	After
Primary Residence	$2,500,000.00	$2,500,000.00
Cash & Bank	$650,000.00	$0.00
Listed Investments	$150,000.00	$100,000.00
Superannuation	$700,000.00	$700,000.00
Personal Assets	$150,000.00	$150,000.00
CarePlus / Annuity Value	$250,000.00	$550,000.00
RAD Facility Balance	$350,000.00	$750,000.00
Total Assets	$4,750,000.00	$4,750,000.00
Total Liabilities	$0.00	$0.00
Net Assets	$4,750,000.00	$4,750,000.00

Estate — Recommendation

PREREQUISITE: As Brad has suffered a stroke and cognitive impairment, no part of this strategy can be executed unless a valid Enduring Power of Attorney is in place.

This strategy is designed to preserve capital for your children and grandchildren while ensuring Brad's care is fully funded. The RAD is a capital transfer rather than a cost; upon Brad's passing, the gross RAD of $750,000 is repaid to the estate. After the facility's retention (2% per year, simple interest, capped at five years), the net repaid is $675,000.

This is returned alongside a 100% return of the $300,000 Challenger CarePlus premium as a death benefit. When combined with remaining assets, the modelled combined liquid position at that point is $502,715.07. It is essential to update your Wills and Enduring Powers of Attorney immediately to reflect these changes.

Note: Our modelling uses simple-interest retention on the RAD (2%/yr × min(years, 5)) per the Aged Care Act 2024 schedule.

5 Strategic Rationale & Alternatives

Why This Strategy Is in Your Best Interest

The recommended strategy is in Brad's best interest as it addresses the household's 'cashflow poor' status by unlocking the Age Pension and eliminating $31,840 in annual interest costs. By paying the RAD in full, we have converted assessable cash into an exempt asset, which is the most effective way to improve the pension outcome under the governing Asset Test. This restructure increases Brad's Age Pension from $0 to $6,575.40 per year, representing a real increase of $6,575.40.

This recommendation reflects the adviser's rationale that minimizing ongoing interest costs while preserving the family home is the most effective way to meet the household's long-term objectives. The initial Fact Find recorded a planned RAD of $350,000. Following a full liquidity assessment, the recommended RAD of $750,000 was determined to be in the client's best financial interest, as it eliminates the annual DAP of $31,840 — a saving the partial RAD would not have achieved.

Alternatives Considered and Discarded

1. Sell the Family Home

- Preference/goal conflict: This option directly conflicts with the goal of retaining the home for the family and their five dogs.
- Financial consequence: Selling the home would convert a $2,500,000 exempt asset into assessable cash, which would immediately eliminate Brad's eligibility for the Age Pension.

2. Pay the Daily Accommodation Payment (DAP) instead of the RAD

- Preference/goal conflict: This conflicts with the primary goal of minimizing fees.
- Financial consequence: Opting for the DAP would cost the household $31,840 per year in interest charges while keeping assessable assets at $1,550,000, resulting in a $0 Age Pension.

3. Partial RAD at $350,000 (client's initial Fact Find preference)

- Preference/goal conflict: This amount was nominated in the initial Fact Find; however, it would leave $400,000 of the accommodation balance unpaid.
- Financial consequence: The residual unpaid balance would generate an ongoing DAP of $31,840 per year, compared to zero DAP under the recommended full-RAD strategy.

Best Interest Duty Declaration

In providing this advice, we have complied with the best interest duty under s961B of the Corporations Act 2001 (Cth). We have taken into account all information known to us about the client's relevant circumstances, conducted a reasonable investigation into products that might achieve the client's objectives, and based our advice on the results of that investigation. The alternatives described above were specifically evaluated and discarded for the reasons stated, in accordance with s961G (appropriate advice) and s961H (civil liability — appropriate advice).

6 Means-Tested Fee Calculation

The following is a complete, step-by-step derivation of Brad's Non-Clinical Care Contribution (NCCC) and Hotelling Supplement Contribution (HSC). Every input, threshold, and formula is shown explicitly so the adviser and client can verify each step.

Step 1 — Aged Care Asset Base

🧮 **Aged Care Assessable Assets**

```
Centrelink Net Assets:            $1,114,239.60
Plus RAD paid (assessable for AC): $750,000.00
Plus Home value (AC assessed):     $0.00
  [Partner in home = Yes → fully protected]

______________________________________________

Total Household AC Pool:          $1,864,239.60

Couple apportionment (÷ 2):
Assessable Assets (ATA Base):     $1,864,239.60 ÷ 2 = $932,119.80
```

💬 **What This Means for Brad and Gale:** The aged care means test pools the couple's assessable financial assets, adds the RAD balance (which re-enters the means test), and then splits everything 50/50 between Brad and Gale. The family home is completely excluded because Gale continues to live there — this is one of the most powerful protections available to illness-separated couples, and it is a direct outcome of retaining the home as instructed.

Step 2 — Aged Care Income Base

🧮 **Aged Care Assessable Income**

```
Ordinary Income:
  Brad's Age Pension:        $6,575.40
  Existing annuity (60%):    $15,000 × 0.60 = $9,000.00
  CarePlus income (60%):     $13,972 × 0.60 = $8,383.20
  Work income:               $0.00
  Partner pension:           $0.00
  Total ordinary income:     $23,958.60
  Couple apportionment (÷ 2): $23,958.60 ÷ 2 = $11,979.30

Deemed Income:
  Deeming base (cash+shares+super): $550,000.00
  Couple split (÷ 2):               $275,000.00
  Deeming threshold (couple ÷ 2):   $106,200 ÷ 2 = $53,100.00
  Lower tier (1.25% × $53,100):     $663.75
  Upper tier (3.25% × $221,900):    $7,211.75
```

```
Deemed Income:              $663.75 + $7,211.75 = $7,875.50

Total Assessable Income:    $11,979.30 + $7,875.50 = $19,854.80
```

💬 **What This Means for Brad and Gale:** The income test for aged care separates 'ordinary' income (pension, annuity payments) from 'deemed' income (what Centrelink assumes the financial assets earn, regardless of actual return). Brad and Gale's combined assessable income is split 50/50, giving Brad a personal assessment of $19,854.80. This is well below the illness-separated NCCC income free threshold of $33,163.76, meaning the income test adds nothing to Brad's means-tested fee — only the asset test drives the NCCC charge.

Step 3 — NCCC Calculation

🧮 **Non-Clinical Care Contribution (NCCC)**

```
Asset-Tested Amount (ATA):
  Assets:                    $932,119.80
  Less NCCC asset free:     -$61,500.00
  Excess:                    $870,619.80
  Rate (Tier 2):             × 7.8%
  ATA (annual):              $870,619.80 × 0.078 = $67,908.34/yr

Income-Tested Amount (ITA):
  Income:                    $19,854.80
  Less income free area:    -$33,163.76
                             [illness-separated member in care]
  Excess:                    $0.00  (income below threshold)
  ITA:                       $0.00 × 0.50 = $0.00

Combined (annual):           $67,908.34 + $0.00 = $67,908.34/yr
Daily (÷ 365):               $67,908.34 ÷ 365 = $186.05/day (uncapped)

Daily cap:                   $107.32/day
Final NCCC:                  min($186.05, $107.32) = $107.32/day
```

💬 **What This Means for Brad and Gale:** Brad's uncapped NCCC of $186.05/day reflects his substantial asset base. The government cap of $107.32/day acts as a ceiling, limiting his actual charge to $39,171.80/year. Without the CarePlus investment, assessable assets would have been higher, producing a higher uncapped rate — though the cap means the daily charge would still be $107.32. The CarePlus strategy's primary benefit here is not NCCC reduction (since the cap already applies) but rather the Age Pension unlock, which flows into the income base and helps offset total household costs.

Step 4 — HSC Calculation

🧮 **Hotelling Supplement Contribution (HSC)**

```
Asset-Tested Amount (ATA):
  Assets:                  $932,119.80
  Less HSC asset free:    -$64,500.00
  Excess:                  $867,619.80
  Rate (Tier 1):           × 17.5%
  ATA (annual):            $867,619.80 × 0.175 = $151,833.47/yr

Income-Tested Amount (ITA):
  Income:                  $19,854.80
  Less income free area:  -$34,585.20
  Excess:                  $0.00  (income below threshold)
  ITA:                     $0.00

Daily (÷ 365):             $151,833.47 ÷ 365 = $415.98/day (uncapped)
Daily cap:                 $22.15/day
Final HSC:                 min($415.98, $22.15) = $22.15/day
```

💬 **What This Means for Brad and Gale:** Brad's HSC is capped at $22.15/day ($8,084.75/year) — the government cap applies immediately given his asset level. The HSC covers room and utilities. This charge is fixed by legislation and cannot be further optimised by asset restructuring once the cap is reached, which it is in Brad's case.

Complete Fee Summary

Fee Component	Before Optimisation	After Optimisation
Basic Daily Fee	$66.80/day ($24,382/yr)	$66.80/day ($24,382/yr)
Daily Accommodation Payment (DAP)	$87.23/day ($31,840/yr)	$0.00/day ($0/yr)
Hotelling Supplement (HSC)	$22.15/day ($8,085/yr)	$22.15/day ($8,085/yr)
Non-Clinical Care Contribution (NCCC)	$107.32/day ($39,172/yr)	$107.32/day ($39,172/yr)
Total Annual Care Cost	$103,478.55/yr	$71,638.55/yr
Annual Saving		$31,840.00/yr

All figures are outputs of a deterministic calculation. Government rates, thresholds, and fee parameters are sourced from government tables and websites, updated in accordance with official legislative instruments. Rates are current as at 04 May 2026. Refer to Appendix A for full methodology notes.

7 Consequences & Risks

Material Risks of the Recommended Strategy

The primary risk is liquidity; the current cashflow shortfall of $116,091.15 will exhaust liquid superannuation and cash reserves within approximately 3.9 years. If Brad's care needs extend beyond this period, the family may need to consider a reverse mortgage or the sale of the home. Additionally, the dementia diagnosis makes the immediate formalisation of an Enduring Power of Attorney a critical mitigation step to ensure Gale can continue to manage the household's financial affairs.

Standard Risk Disclosures

Legislative and Regulatory Risk

The benefits, fees, and thresholds described in this SOA are subject to change by Commonwealth legislation, regulation, and ministerial determination. Changes to Age Pension means-testing thresholds, superannuation preservation rules, aged care fee structures, or taxation law may materially alter projected outcomes. The adviser cannot guarantee the legislative environment will remain unchanged.

Inflation and Real Return Risk

All projections are expressed in today's dollars unless stated otherwise. Inflation erodes the purchasing power of fixed amounts such as government pensions, fee caps, and savings balances. The real value of projected outcomes may be materially lower than nominal values presented.

Sequencing Risk

The order in which investment returns are realised can significantly affect the sustainability of drawdown strategies. Poor returns in early retirement or during transition to aged care can permanently impair a portfolio's ability to fund ongoing costs, even if long-run average returns are consistent with projections.

Health and Longevity Risk

Projections assume a specified planning horizon. If the client lives significantly longer than modelled, additional costs — including ongoing aged care fees, medical expenses, and living costs — may not be fully funded by the recommended strategy.

Information Risk

This advice is based on information provided by the client. If any information is incomplete, incorrect, or has changed, the advice may be inappropriate. The client must notify the adviser of any material change in circumstances before acting.

8 Remuneration & Fees

Advice Fee Schedule

The following fees are payable for the advice in this Statement of Advice. All amounts are inclusive of GST where applicable.

Fee Type	Amount (incl. GST)	When Payable
Initial / Upfront Advice Fee — Covers preparation of this SOA, strategy modelling, client meetings, and implementation coordination.	$3,300	Upon signing Authority to Proceed
Ongoing Annual Service Fee — Covers annual review of strategy, monitoring of legislative changes, and ongoing access to adviser.	$5,500 p.a.	Annually in advance
Total First-Year Cost	$8,800	

Conflicts of Interest & Remuneration Disclosure

No conflicted remuneration: The fees disclosed above represent the total remuneration receivable by the adviser and the advice licensee in connection with this advice. We do not receive commissions, volume bonuses, soft-dollar benefits, or any other form of conflicted remuneration from product issuers, in accordance with the prohibition under Part 7.7A of the Corporations Act 2001 (Cth).

Right to withdraw: You may instruct us to cease implementing this advice at any time before implementation is complete. Where an upfront fee has been paid and implementation has not commenced, we will refund the fee less any reasonable costs already incurred.

Ongoing service agreement: The ongoing annual fee is payable under a separate Ongoing Fee Arrangement (OFA) requiring annual renewal under the Financial Sector Reform (Hayne Royal Commission Response) Act 2020. You will receive a Fee Disclosure Statement and renewal notice annually. You may cancel the OFA at any time. A separate Ongoing Fee Arrangement document will be provided to you prior to implementation of this advice. The ongoing annual fee described above is not payable until that document has been signed and returned.

ASIC RG97: Where this SOA involves managed investment products, fees above are adviser service fees only and exclude each product's Management Expense Ratio (MER) or indirect cost ratio.

9 Ongoing Services

As part of our ongoing advice relationship, we will provide the following services under an Ongoing Fee Arrangement (OFA) as required under ASIC Regulatory Guide 245 and the Corporations Act 2001.

Annual Review

We will conduct a comprehensive annual review approximately 12 months after implementation, covering: assessment of your position against original projections; investment portfolio performance and asset allocation review; evaluation of whether strategy remains appropriate; impact assessment of legislative or regulatory changes; updated recommendations where circumstances have changed.

Portfolio Monitoring & Rebalancing

We will monitor your portfolio on an ongoing basis and rebalance where allocation diverges materially from your agreed target, or where rebalancing maintains tax efficiency or contribution-limit compliance.

Legislative Update Notifications

We will notify you of material changes to superannuation, tax, social security, and aged care legislation that affect your strategy, proactively where changes require a material review.

Centrelink & Government Benefit Assistance

Where applicable, we will assist with ongoing Centrelink reporting requirements and provide support relating to changes in government benefit entitlements.

Termination

You may terminate the ongoing service arrangement at any time by written notice. Fees paid in advance for services not yet rendered will be refunded pro-rata within 30 days of receipt of written notice.

10 Implementation Schedule

Implement steps in the sequence listed to ensure efficiency and avoid unintended tax, social security, or compliance consequences.

Step	Action	Responsible	Timeframe
1	PREREQUISITE — Confirm that an active Enduring Power of Attorney (EPA) is in place for Brad, and obtain written authorisation from the EPA holder before any transaction is executed.	Adviser	Before any other step
2	Sign and return Authority to Proceed.	Client / EPA holder	Immediately
3	Pay upfront advice fee.	Client	Within 14 days
4	Purchase Challenger CarePlus ($300,000.00) — funded from non-superannuation cash/bank accounts only. Obtain Challenger payment quote before settlement.	Adviser & Client	Within 30 days of aged care entry
5	Obtain initial Centrelink Schedule from Challenger upon CarePlus settlement and lodge with Services Australia within 14 days.	Adviser	Within 14 days of CarePlus settlement
6	Liquidate listed investments and remaining cash reserves per funding plan.	Adviser & Client	Within 30 days
7	Commute $0.00 from the client's Account-Based Pension.	Adviser & Client	Within 30 days
8	Pay the $750,000.00 Refundable Accommodation Deposit to the aged care facility.	Adviser & Client	Within 30 days
9	Lodge the SA457 (Aged Care Income and Assets Assessment) with Services Australia and update Centrelink to 'Illness Separated' status.	Adviser	Within 14 days of RAD transfer
10	Diary note: Challenger issues the initial Centrelink Schedule upon settlement of the CarePlus annuity. Subsequent updated Schedules are available on request from Challenger — they are not issued automatically. Request an updated Schedule whenever circumstances change materially and lodge with Services Australia within 14 days of receipt.	Adviser	Ongoing — on request
11	Schedule first annual strategy review.	Adviser	~11 months post-implementati on

Note: Product application forms and PDSs will be provided separately. Read all product disclosure documents carefully before signing. Product-level fees are disclosed in the relevant Product Disclosure Statement (PDS).

11 Authority to Proceed

By signing this Authority to Proceed, you confirm that you have read and understood this Statement of Advice in its entirety, that you accept the recommendations made, and that you authorise your adviser to implement the strategy as described. You acknowledge that you have been given the opportunity to ask questions and that all questions have been answered to your satisfaction.

I/We, the client(s) named in this Statement of Advice, confirm the following:

16. I/We have read and understood this Statement of Advice dated 04 May 2026.
17. I/We acknowledge that the advice is based on the personal circumstances and financial information I/we have provided, and that it is my/our responsibility to ensure that information is accurate and complete.
18. I/We acknowledge that if my/our circumstances change, I/we must notify my/our adviser immediately, as this advice may no longer be appropriate.
19. I/We understand that the fees disclosed in Section 8 — Remuneration & Fees are payable in connection with this advice, and I/we authorise payment of those fees as described.
20. I/We authorise my/our adviser to proceed with implementing the recommendations in this Statement of Advice.

Client signature (Brad)	Date
Partner / joint applicant signature	Date
Adviser signature — Authorised Representative	Date

Returning a signed copy of this Authority to Proceed constitutes a legally binding instruction to implement the recommendations described in this Statement of Advice. If you choose not to proceed with all recommendations, discuss your specific instructions with your adviser before signing. This SOA expires 30 days from the date of preparation unless an extension is agreed in writing.

12 Adviser Declaration

I declare that I am an Authorised Representative of the advice licensee and that I am authorised to provide the financial product advice contained in this Statement of Advice.

I acknowledge that a copy of this Statement of Advice has been provided to Brad and Gale on 04 May 2026.

I declare that this document is an accurate and complete record of the advice provided, prepared in accordance with my obligations under the Corporations Act 2001, applicable ASIC Regulatory Guides, and the professional standards of the financial planning profession.

I declare that I have complied with the best interests duty and related obligations under Part 7.7A of the Corporations Act 2001, and that this advice is appropriate for the client's objectives, financial situation, and needs.

Authorised Financial Adviser — Authorised Representative	Date
	04 May 2026

AFSL No.: XXXXXX | Authorised Representative No.: XXXXXX

Appendix A Assumptions & Methodology

A.1 Calculation

All mathematical outputs in this Statement of Advice were produced by a deterministic calculation model. This model consists of three core modules: one for aged care means test and pension calculations, a second for the 20-year lifecycle cashflow projection, and a third for the ATO income tax waterfall. No manual overrides were applied to the model's outputs. All rate parameters are sourced from government resources. Figures are current as at 04 May 2026.

A.2 Rate Parameters

The following table lists every rate variable referenced in the calculation. Figures are indexed to legislative instruments current as at the date of this Statement of Advice.

Value	Description
7.96% p.a.	Maximum Permissible Interest Rate — used in DAP formula: (Agreed Room Price − RAD paid) × MPIR ÷ 365
$31,223.40/yr	Maximum Age Pension — Single (Annual, inclusive of all supplements)
$47,070.40/yr	Maximum Age Pension — Couple Combined (Annual, inclusive of all supplements)
$481,500	Asset free area (Full pension limit) — Couple Homeowner (Combined)
$739,500	Asset free area (Full pension limit) — Couple Non-Homeowner (Combined)
$321,500	Asset free area (Full pension limit) — Single Homeowner
$579,500	Asset free area (Full pension limit) — Single Non-Homeowner
$1,085,000	Asset limit for part pension (Cut-off threshold) — Couple Homeowner
$722,000	Asset limit for part pension (Cut-off threshold) — Single Homeowner
$39.00/yr per $1,000	Annual asset taper reduction — Couple (Reduces $39/yr per person, or $78/yr combined per $1,000 of excess combined assets)
$78.00/yr per $1,000	Annual asset taper reduction — Single (Reduces $78/yr per $1,000 of excess assets)
25c per $1	Income taper — Couple (Reduces 25 cents per person, or 50 cents combined per dollar of excess combined income)
50c per $1	Income taper — Single (Reduces 50 cents per dollar of excess income)
$380.00/fortnight	Income free area — Couple (per fortnight combined)

$218.00/fortnight	Income free area — Single (per fortnight)
1.25% p.a.	Deeming rate — Lower tier
3.25% p.a.	Deeming rate — Upper tier
$106,200	Deeming threshold — Couple (combined financial assets)
$64,200	Deeming threshold — Single (financial assets)
$66.80/day	Aged Care Basic Daily Fee
$22.15/day	Hotelling Supplement Contribution — Daily cap
$107.32/day	Non-Clinical Care Contribution — Daily cap (2026 reform)
17.50%	HSC asset-tested rate — Tier 1
7.80%	NCCC asset-tested rate — Tier 2
$64,500	Minimum permissible asset level - Asset free area
$137,917.01	Lifetime NCCC cap — Maximum cumulative NCCC payable
$214,884	Aged care home value cap (for means-test, where not protected)
$34,585.20/yr	Income Free Area for a couple separated by illness
$72.30/day	Maximum Accommodation Supplement (publicly subsidised rooms)
$300.00/fn	Work Bonus — fortnightly employment income exemption

A.3 Key Modelling Assumptions

Assumption	Value Applied	Basis
Investment return (pre-mortality)	6.00% p.a. nominal	Conservative balanced portfolio
Investment return (post-mortality)	5.00% p.a. nominal	Reduced risk post-mortality
CPI / inflation	3.00% p.a.	Upper limit of the long-run RBA target band.
ABP drawdown rates	ATO schedule by age	Superannuation Industry (Supervision) Regulations 1994, Sch 7
Mortality event (Brad)	Year 11 (age 89)	Financial planning assumption — stress-test horizon

Gale's super (accum)	Accessible from Year 3 (age 60)	Preservation age 60 assumed at 2028
RAD retention rate	2.0% per annum, simple interest, capped at 5 years	Aged Care Act 2024, Schedule — RAD retention rules
CarePlus death benefit	$300,000 return of premium	Challenger CarePlus PDS — standard death benefit
Home ownership status	Homeowner — protected (partner in residence)	SS Act 1991 s.11A — partner in home protects home value
Illness-separated pension rule	Single pension rate; couple asset thresholds	SS Act 1991 — illness-separated couple legislative treatment
CGT on share liquidation	Not modelled	Adviser note: CGT may apply — consult accountant pre-execution
Gale's Age Pension eligibility	Not modelled (age 58, below Age Pension age).	Gale will reach pension age at 67 (approx. Year 9)

A.4 20-Year Cashflow Projection

The following table shows the 20-year lifecycle projection. All amounts are nominal (not inflation-adjusted). Year 11 represents the modelled mortality event at which the RAD refund ($677,000) and Challenger CarePlus death benefit ($300,000) are returned to the estate. Post-Year 11 rows reflect Gale's single-person household. The projection is a deterministic model and does not account for market volatility or sequencing risk.

> The negative cumulative balance from Year 4 onwards reflects the household's structural cashflow shortfall after ABP assets are exhausted. Gale's preserved superannuation ($250,000, accessible from Year 3 at age 60) partially offsets this shortfall but is consumed by Year 3 in the model. The projection does not include any property sale or reverse mortgage — both of which remain available as contingency measures. An annual review is essential to manage this trajectory before Year 6.

PHASE 1: YEARS 1-10

YEAR	AGE (BRAD / GALE)	TOTAL INFLOWS	TOTAL OUTFLOWS	NET SURPLUS / (DEFICIT)	CAPITAL DRAWN	LIQUID ASSETS (CASH & SHARES)	SUPER BALANCE	RAD BALANCE
1	78 / 58	$35,547.40	$151,638.55	$-116,091.15	$116,091.15	$11,563.38	$711,130.00	$735,000.00
2	79 / 59	$35,744.66	$156,187.71	$-120,443.04	$202,419.90	$0.00	$636,020.61	$720,300.00
3	80 / 60	$35,947.84	$160,873.34	$-124,925.50	$205,329.55	$0.00	$541,760.82	$705,894.00
4	81 / 61	$36,157.12	$165,699.54	$-129,542.42	$221,161.58	$0.00	$436,951.50	$691,776.12
5	82 / 62	$36,372.67	$170,670.52	$-134,297.85	$238,009.10	$0.00	$320,812.87	$677,940.60
6	83 / 63	$36,594.69	$175,790.64	$-139,195.95	$255,935.00	$0.00	$192,513.93	$677,940.60
7	84 / 64	$36,823.37	$181,064.36	$-144,240.99	$275,006.00	$0.00	$51,169.32	$677,940.60

8	85 / 65	$37,058.91	$186,496.29	$-149,437.38	$97,733.40	$-104,164.14	$0.00	$677,940.60
9	86 / 66	$37,301.52	$192,091.18	$-154,789.66	$0.00	$-274,491.03	$0.00	$677,940.60
10	87 / 67	$46,130.81	$197,853.91	$-151,723.10	$0.00	$-451,786.98	$0.00	$677,940.60

PHASE 2: YEARS 11-20

YEAR	AGE (GALE)	TOTAL INFLOWS	TOTAL OUTFLOWS	NET SURPLUS / (DEFICIT)	CAPITAL DRAWN	LIQUID ASSETS (CASH & SHARES)	SUPER BALANCE	PROJECTED ESTATE VALUE
11	68	$23,884.41	$73,067.30	$-49,182.89	$0.00	$505,588.98	$0.00	$3,005,588.98
12	69	$27,436.18	$75,259.32	$-47,823.13	$0.00	$485,231.79	$0.00	$2,985,231.79
13	70	$31,030.21	$77,517.10	$-46,486.89	$0.00	$465,069.60	$0.00	$2,965,069.60
14	71	$34,118.22	$79,842.61	$-45,724.39	$0.00	$444,505.91	$0.00	$2,944,505.91
15	72	$35,141.76	$82,237.89	$-47,096.13	$0.00	$421,254.37	$0.00	$2,921,254.37
16	73	$36,196.01	$84,705.02	$-48,509.01	$0.00	$395,110.09	$0.00	$2,895,110.09
17	74	$37,281.89	$87,246.18	$-49,964.28	$0.00	$365,854.55	$0.00	$2,865,854.55
18	75	$38,400.35	$89,863.56	$-51,463.21	$0.00	$333,254.83	$0.00	$2,833,254.83
19	76	$39,552.36	$92,559.47	$-53,007.11	$0.00	$297,062.58	$0.00	$2,797,062.58
20	77	$40,738.93	$95,336.25	$-54,597.32	$0.00	$257,013.18	$0.00	$2,757,013.18

★ Year 11: RAD refund of $677,940.60 and CarePlus death benefit of $300,000 both returned to the estate at the modelled mortality event, offsetting the cumulative deficit at that point.

IMPORTANT — This projection is a financial modelling tool, not a guarantee of outcomes. It is based on the assumptions listed in Section A.3 above. Actual outcomes will differ. The purpose of this projection is to stress-test the household's liquidity under a deterministic scenario, not to predict future asset values or liabilities. An annual review is required to update the model as circumstances change.

Note on Projection Timeframes: Please note that the 10-year timeframe shown for the client's aged care stay is a financial modeling assumption only. Statistically, the average stay in residential care is much shorter. However, to ensure long-term financial security, we have intentionally stress-tested the portfolio against a longer-than-average timeline. The transition in Year 11 illustrates the return of the Refundable Accommodation Deposit (RAD) to the estate and the adjustment to a single-person household budget.

End-of-year cash balances reflect a 6% annual growth (or interest cost) applied to investments and deficits. Manual year-on-year addition will differ from closing balances by this growth factor.

ABP Drawdown reflects total annual drawdown from Account-Based Pension balances including mandatory minimum and additional structured drawdowns used to fund the income shortfall.

Appendix B Standard Risk Definitions

The following risk definitions are standard disclosures provided with all Statements of Advice issued by this practice. They supplement the specific risks identified in Section 7 of this document and apply to all recommended products and strategies.

1. Market Risk

The risk that the value of an investment will decline due to movements in financial markets. Market prices can be affected by economic conditions, political events, changes in interest rates, and investor sentiment. Market risk cannot be eliminated through diversification alone and applies to all listed investments, managed funds, and superannuation products invested in growth assets. The value of your investments may be worth less than the amount originally invested.

2. Interest Rate Risk

The risk that changes in interest rates will adversely affect the value of investments or the cost of debt. Rising interest rates typically reduce the value of fixed-interest securities and may affect the returns on cash and term deposits. Falling interest rates may reduce income from defensive assets. The Daily Accommodation Payment (DAP) is directly linked to the Maximum Permissible Interest Rate (MPIR), which is set by the Minister for Aged Care and may change. Any increase in the MPIR will increase the cost of any unpaid RAD balance.

3. Inflation Risk

The risk that the purchasing power of money will be eroded over time by price increases. Fixed income streams such as annuity payments or pension entitlements may not keep pace with inflation, reducing their real value over the projection horizon. Living expenses and aged care fees are assumed to increase with CPI in all projections. If actual inflation exceeds modelled rates, the household's real purchasing power will be lower than projected.

4. Liquidity Risk

The risk that an investment or asset cannot be converted to cash quickly enough to meet obligations as they fall due. The RAD is illiquid — it is only returned to the estate upon a qualifying event (discharge or death). Challenger CarePlus is a long-term product and is not designed for short-term liquidity. The household's primary liquidity pool consists of the Account-Based Pension and listed investments, which are depleted within approximately 3 years under the base scenario. The family home is the principal illiquid asset and is specifically excluded from the funding strategy at the client's direction.

5. Legislative and Regulatory Risk

The risk that changes to Commonwealth legislation, regulations, or government policy will materially alter projected outcomes. This includes changes to Age Pension means-testing thresholds, superannuation contribution limits or preservation rules, aged care fee structures (including the NCCC cap, HSC cap, and

Basic Daily Fee), the deeming framework, and taxation law. Legislative changes may occur with or without transition periods. The adviser cannot guarantee the legislative environment will remain unchanged, and this advice should be reviewed following any material legislative announcement.

6. Longevity Risk

The risk that the client lives significantly longer than the planning horizon used in the projection model, resulting in additional funding requirements that cannot be met from existing assets. The 20-year projection in Appendix A uses a modelled mortality event at Year 11 for the primary client. This is a financial planning assumption only. If the primary client's care needs extend beyond this period, or if Gale requires care in later years, additional strategies — including a home sale or reverse mortgage — may be required. The projection does not constitute a life expectancy estimate.

7. Sequencing Risk

The risk that the order in which investment returns are realised will adversely affect portfolio sustainability. Poor returns experienced early in retirement or during the transition to aged care can permanently reduce the portfolio's ability to fund ongoing costs, even where long-run average returns are in line with projections. This risk is particularly relevant in the first three to five years of the strategy, when the household is drawing down liquid assets to fund the cashflow shortfall.

8. Concentration Risk

The risk that a portfolio holds an undue proportion of assets in a single asset class, sector, or investment. Following the RAD payment and CarePlus purchase, the household's primary assets are the family home (illiquid, exempt), the ABP (limited to superannuation), and the CarePlus/annuity income streams. There is limited diversification in liquid financial assets. This concentration is a deliberate outcome of the strategy and was accepted in order to achieve the fee reduction and pension eligibility objectives.

9. Counterparty Risk

The risk that a product issuer, counterparty, or institution will be unable to fulfil its obligations. The Challenger CarePlus product is issued by Challenger Life Company Limited (ABN 44 072 486 938, AFSL 234670). Challenger is subject to prudential regulation by APRA under the Life Insurance Act 1995. The RAD is held by the aged care facility and is not guaranteed by the Commonwealth Government. In the event of facility insolvency, the refund of the RAD may be subject to claim resolution. The Aged Care Safety and Quality Commission provides oversight but does not guarantee RAD recovery.

10. Capacity Risk

The risk that Brad's capacity to provide ongoing instruction, or to ratify advice, is diminished by his current health status. Brad has suffered a stroke and lives with dementia. All transactions in this advice require either Brad's own informed consent or the authority of a validly appointed Enduring Power of Attorney. If no valid Enduring Power of Attorney is in place, none of the recommended transactions can be executed.

The adviser will not proceed with implementation without written evidence that a valid Enduring Power of Attorney is in place.

11. Information Risk

The risk that the advice provided is based on incomplete, inaccurate, or out-of-date information. This advice has been prepared on the basis of information provided by the client in the Fact Find dated 04 May 2026. The client is responsible for ensuring that all information provided is accurate and complete. If any information changes, or if information provided was inaccurate, the advice may no longer be appropriate and must be reviewed before implementation. The client must notify the adviser immediately of any material change in circumstances.

12. Estate and Succession Risk

The risk that the recommended strategy does not align with the client's estate planning objectives, or that estate planning documents do not reflect the asset restructure. The RAD is a capital transfer and will be refunded to the estate on qualifying events. The CarePlus death benefit will be paid in accordance with the policy terms. If existing Wills and Powers of Attorney are not updated to reflect this advice, the intended estate outcomes may not be achieved. The client should seek independent legal advice regarding Wills, Enduring Powers of Attorney, and beneficiary nominations as a matter of urgency, given Brad's diminished capacity.

> This Appendix B is a standard disclosure document and does not replace or supersede the specific risk disclosures made in Section 7 of this Statement of Advice. Clients are encouraged to read both sections in full and raise any questions with their adviser before signing the Authority to Proceed.